EXECUTIVE MEMORANDUM

TO	AMG Executive Team
FROM	ERP Transformation Advisory Team
DATE	July 25, 2026
SUBJECT	A controlled 12-month roadmap for replacing AMG's legacy ERP

EXECUTIVE RECOMMENDATION

Proceed with a business-led, fit-to-standard ERP transformation that protects core operations, limits Day-1 scope to essential end-to-end capabilities, and uses staged readiness gates before a controlled go-live in approximately 12 months.

1. Current-state problem and business objectives

AMG's technology environment is fragmented around a 20-plus-year-old ERP, a separate engineering database, an unintegrated CRM, a siloed HRIS/payroll platform and extensive spreadsheet workarounds. The most material failure point is the fragile nightly synchronization of Bills of Materials (BOMs) and Engineering Change Notices (ECNs). When product data is late, incomplete or inconsistent, Procurement and Manufacturing may act on the wrong requirements, leading to delays, rework and expedited costs. At the same time, unreliable labor capture prevents dependable job costing and contribution-margin analysis. These weaknesses are consistent with the reported margin erosion on roughly 80% of custom orders.

The transformation should therefore be measured as a business-control program rather than a software installation. Its primary objectives are to:

- **Protect operational continuity** across all five US and Canadian locations during transition and cutover.
- **Establish one governed flow** of customer, engineering, procurement, inventory, manufacturing and financial data.
- **Improve estimated-versus-actual visibility** for materials, labor, rework and order contribution margin.
- **Standardize critical processes** and controls while reducing uncontrolled spreadsheet dependence.
- **Preserve access to historical information** and maintain an uninterrupted, auditable month-end close.

2. Recommended implementation approach

Use a phased program with a coherent core production release. The project should progress through formal readiness gates, but Finance, Order Management, Engineering/BOM control, Procurement, Inventory and Manufacturing must be designed and tested together because they form one end-to-end operating chain. Location waves should be confirmed during discovery after assessing shared inventory, intercompany activity, site readiness and the feasibility of temporary integrations.

PHASE	TIMING	KEY OUTPUT
1. Mobilize	Month 1	Charter, governance, scope baseline, resource commitments and success measures.
2. Discover and design	Months 2-3	Fit-to-standard workshops, process ownership, data assessment and future-state decisions.
3. Configure and prepare	Months 4-6	ERP configuration, integrations, reporting, data cleansing and training design.
4. Validate	Months 7-10	Integration testing, migration rehearsals, user acceptance testing and role-based training.
5. Cut over and stabilize	Months 11-12	Mock close, mock cutover, go/no-go review, production cutover and hypercare.

3. Day-1 scope, deferrals and scope control

Day 1 should contain the minimum complete set of capabilities required to accept an order, engineer it, obtain materials, build and ship it, invoice the customer, pay suppliers and close the books. Complexity that does not protect continuity, compliance or near-term margin visibility should be deferred.

DAY-1 MUST-HAVES	Finance and multi-entity accounting; order management and invoicing; customer, supplier and item masters; approved BOM/ECN release; MRP, work orders and routings; procurement; inventory and transfers; labor capture; job costing; core operational and financial reports; security, approvals, audit trail and essential integrations.
DEFER TO LATER RELEASES	Full CRM replacement; broad HR/payroll transformation; advanced field-service optimization; artificial intelligence; nonessential mobile tools; cosmetic workflow changes; low-use custom reports; and functionality already supported adequately by retained systems.
MIGRATION EXCLUSIONS	Obsolete master data, closed transactions that are not operationally or legally required in the new ERP, duplicate records, superseded BOM revisions and historical detail that can be accessed through a governed read-only archive.

Customization discipline. AMG should adopt standard ERP processes wherever practical. Each requested deviation should be tested against legal necessity, safety, business differentiation, measurable value, upgrade impact, testing effort and the availability of a temporary workaround. Material changes to scope, budget or timeline should require a documented change request and Steering Committee approval.

4. Principal risks and mitigations

RISK	PRIMARY MITIGATION
Operational disruption at cutover	Run at least two mock cutovers; define transaction freezes, fallback procedures and go/no-go criteria; staff a cross-functional hypercare command center.
Poor BOM and master-data quality	Assign business data owners; cleanse duplicates and obsolete records; validate revisions, units and quantities; reconcile each migration rehearsal.
Scope growth and over-customization	Baseline Day-1 scope; use fit-to-standard design; maintain a post-go-live backlog; quantify schedule and testing impact before approval.
Weak adoption and labor-entry compliance	Engage process owners and super-users early; provide role-based practice; simplify time entry; monitor daily compliance and supervisor approvals.
Financial-close or reporting failure	Agree KPI definitions early; test subledger-to-ledger reconciliation, consolidation and reports; perform a mock month-end close before go-live.

5. Data, reporting and month-end continuity

AMG should not interpret uninterrupted historical access as a requirement to load every legacy transaction into the new ERP. The recommended strategy is selective migration supported by a secure, searchable and read-only archive.

- **Migrate fully:** active customer, supplier, employee, item and approved BOM masters; open sales, purchase and production orders; open receivables and payables; inventory; fixed-asset and general-ledger opening balances.
- **Migrate selectively:** agreed recent comparative financial, customer, supplier and order-profitability history where the value justifies cleansing and reconciliation effort.
- **Archive:** older closed transactions, obsolete records and superseded revisions, retained according to legal, tax and audit requirements.

Reporting transition. Define a governed KPI catalogue, including the exact treatment of direct material, direct labor, subcontracting, freight, rework and overhead in contribution-margin reporting. Before go-live, preserve validated legacy report snapshots. After go-live, current reporting should come from the new ERP while authorized users retain historical drill-down through the archive or a controlled reporting repository.

Month-end continuity. Finance should document the future close process, map the legacy and future charts of accounts, test intercompany and consolidation rules, rehearse opening-balance loads, reconcile every subledger to the general ledger and complete a mock close before the production cutover. The first live close should receive dedicated Finance, IT and implementation-partner support, with daily reconciliation of cash, receivables, payables, inventory and production postings.

6. Governance and decision rights

The program should be sponsored by a senior business executive and governed as an enterprise transformation, not delegated solely to IT. Recommended decision structure:

- **Executive Sponsor:** owns outcomes, secures resources and removes organizational barriers.
- **Steering Committee:** CFO, Operations, Engineering, IT and other accountable executives; approves material scope, policy, budget and go-live decisions.
- **Program Manager:** maintains the integrated plan, RAID log, dependencies, budget, communications and readiness evidence.
- **Process Owners:** accountable for future processes such as record-to-report, procure-to-pay, engineer/plan-to-produce and order-to-cash.
- **Business Data Owners and Super-Users:** approve data, execute testing, support training and reinforce adoption.

Formal stage gates should confirm readiness at design approval, build completion, integration-test exit, user-acceptance-test exit and final go-live authorization. No gate should be passed solely because the calendar date has arrived.

7. Go-live readiness criteria

The production date should remain conditional until the Steering Committee has objective evidence that AMG can operate and recover safely. Minimum go-live criteria should include:

- **Process readiness:** all critical end-to-end scenarios have passed user acceptance testing with no unresolved severity-one defects.
- **Data readiness:** business owners have signed off migrated masters, open transactions, inventory and financial reconciliations.
- **People readiness:** affected users have completed role-based training and local support coverage is confirmed.
- **Cutover readiness:** the detailed runbook, ownership, communication plan, fallback decision points and support roster have been rehearsed.
- **Control readiness:** access roles, approvals, audit trails, backup, monitoring and first-close procedures are operational.

8. Success measures and executive actions

AMG should baseline current performance during Month 1 and approve target values during design. The scorecard should include:

OPERATIONAL CONTROL	FINANCIAL AND ADOPTION OUTCOMES
• BOM release accuracy and reduction in synchronization failures • Inventory accuracy and reduction in material shortages/expedites • Percentage of labor recorded accurately and on time • Reduction in uncontrolled spreadsheets and manual reconciliations	• Timeliness and reliability of order contribution-margin reporting • Month-end close duration and reconciliation quality • On-time production completion and customer delivery • User training completion, adoption and critical-defect levels

Immediate executive actions. Confirm the Executive Sponsor and Steering Committee, approve the Day-1 scope principles, appoint business process and data owners, protect subject-matter-expert capacity, and authorize Month 1 discovery to validate site sequencing, baseline performance, ERP selection/configuration assumptions and the final integrated plan.

DECISION REQUESTED

Approve the proposed transformation principles and authorize mobilization, subject to a formal Month 1 validation of scope, resource capacity, site sequencing and go-live feasibility.